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CHAPTER

4 Cost and Revenue Analysis

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"The big hurdle is going out and raising the revenue "

–Tyler Cowen

Learning Objectives

1. To identify the cost involved in the production of any commodity or service and to present the ways in which it is utilized, combining with revenue in the calculation of profit of the firm; and
2. To point out how revenue is realized at the sale of the goods and services produced at the various types of market.

4.1 Introduction

Cost and revenue analysis refers to examining the cost of production and sales revenue of a production unit or firm under various conditions. The objective of a firm is to earn profit, and not to make loss. However, a firm's profit or loss is primarily determined by its costs and revenue. In simple terms, profit / loss is defined as the difference between the total revenue and the total cost i.e., Profit (or) Loss = Total Revenue - Total Cost. As costs and revenue are very important to decide the production behaviour of a firm and its supply behaviour in the market, it is necessary to understand the cost and revenue concepts .

4.2 Cost Analysis

Cost refers to the total expenses incurred in the production of a commodity. Cost analysis refers to the study of behaviour of cost in relation to one or more production criteria, namely size of output, scale of production, prices of factors and other economic variables. The functional relationship between cost and output is expressed as 'Cost Function'.